Swissquote

DARE

SWISSQUOTE EQUITY STORY

SWISSQUOTE STORY

DARE TO DO THINGS DIFFE-RENTLY



01
SWISSQUOTE STORY



Swissquote combines
a unique multi-asset class
trading platform
with the innovative power
of a fintech company based
on a solid Swiss bank.

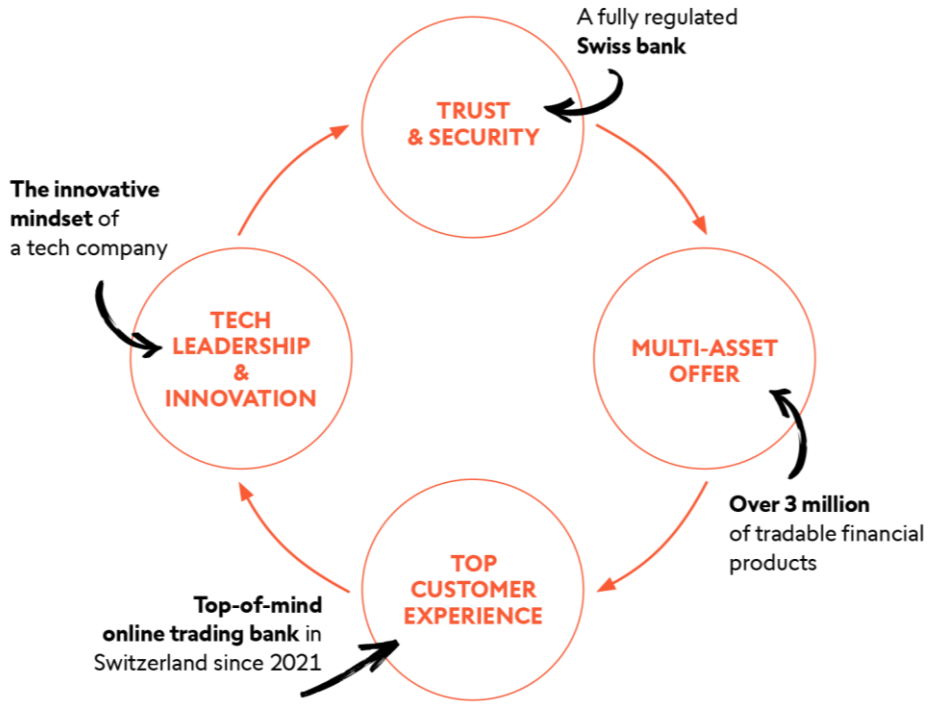
Marc Bürki, CEO

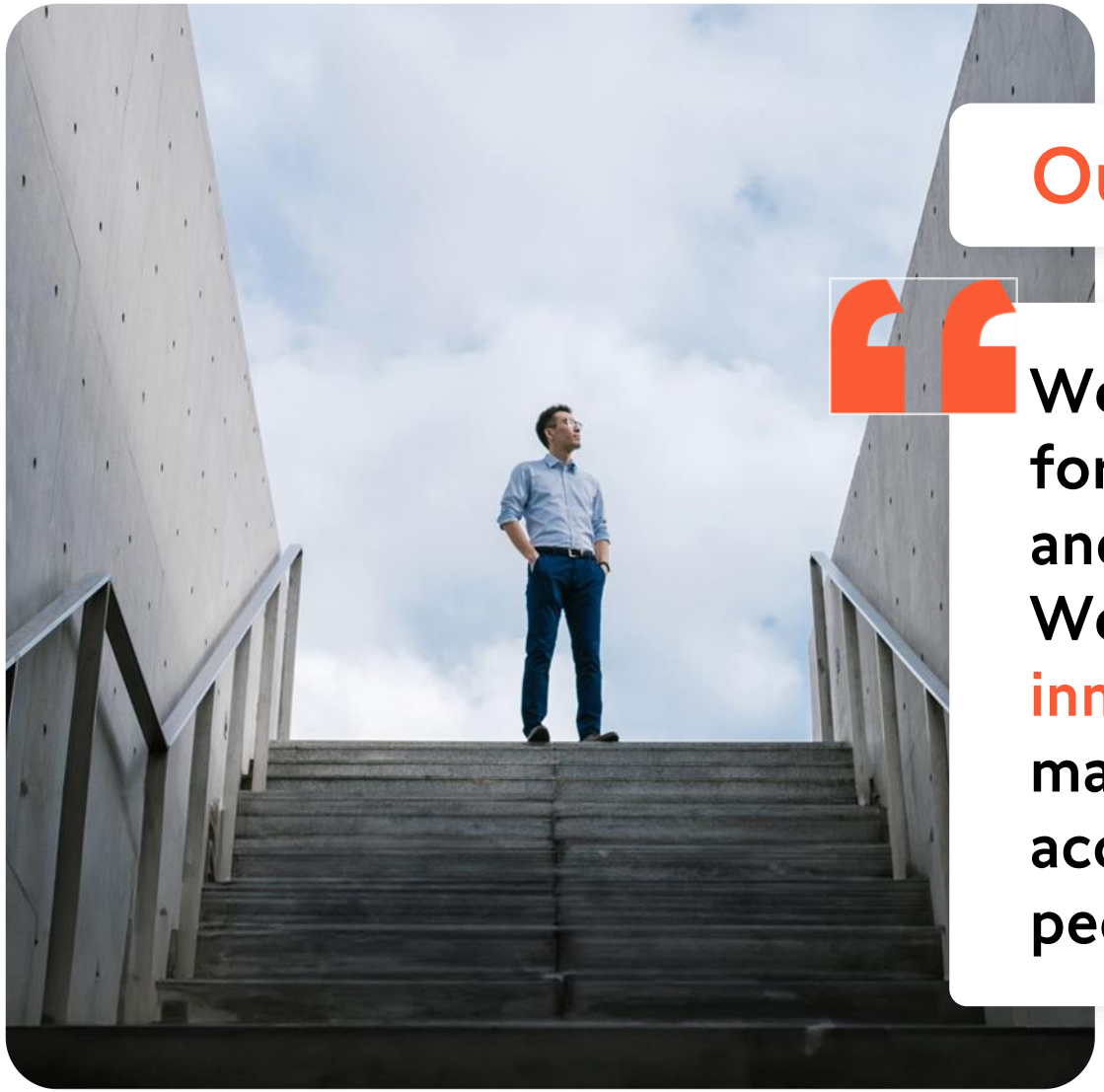
A profitably growing tech bank

Swissquote combines the pedigree of being a fully regulated Swiss bank with the innovative mindset of a tech company which is engrained in our DNA.

Over the years, we have built a leading multi-asset platform with over 3 million of online tradable financial products, that provides a top-notch customer experience, with competitive and transparent pricing, resulting in a strong market position in Switzerland.

We are now expanding it to additional geographies in order to provide more customers with access to our platform and to continue our story of profitable and sustainable growth.

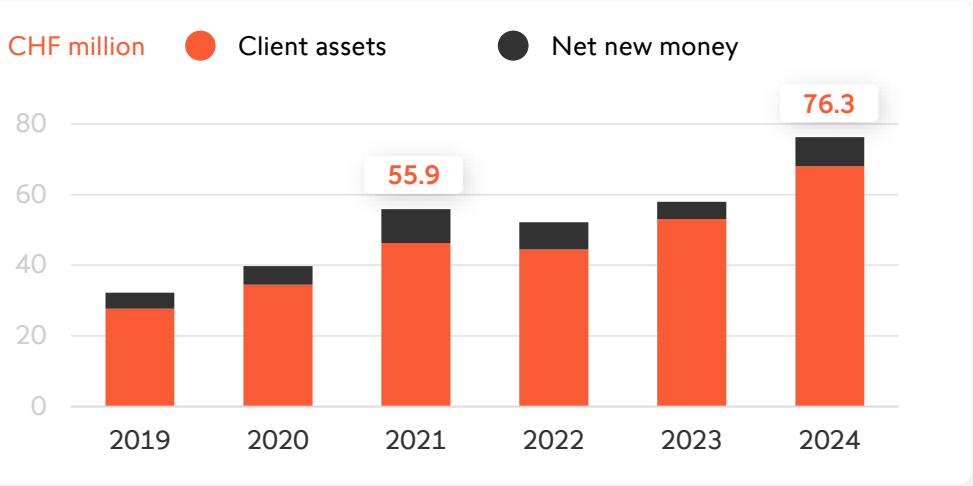


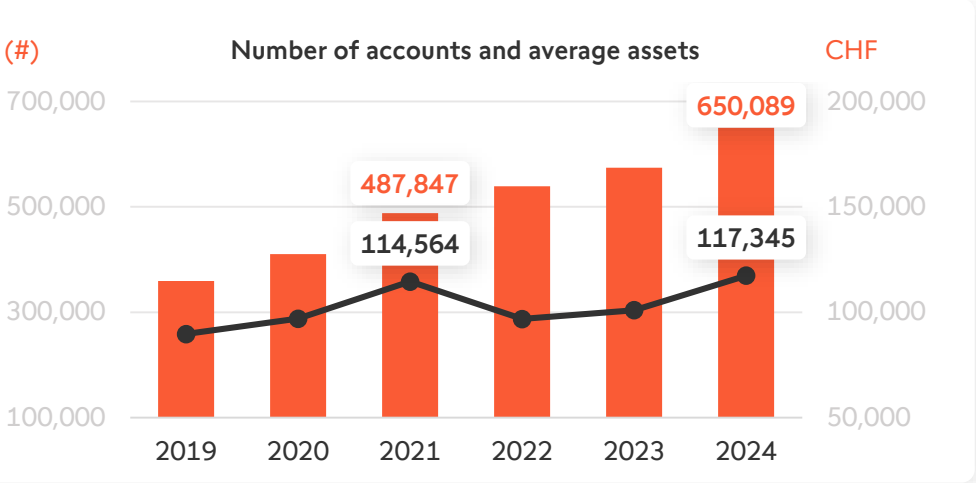


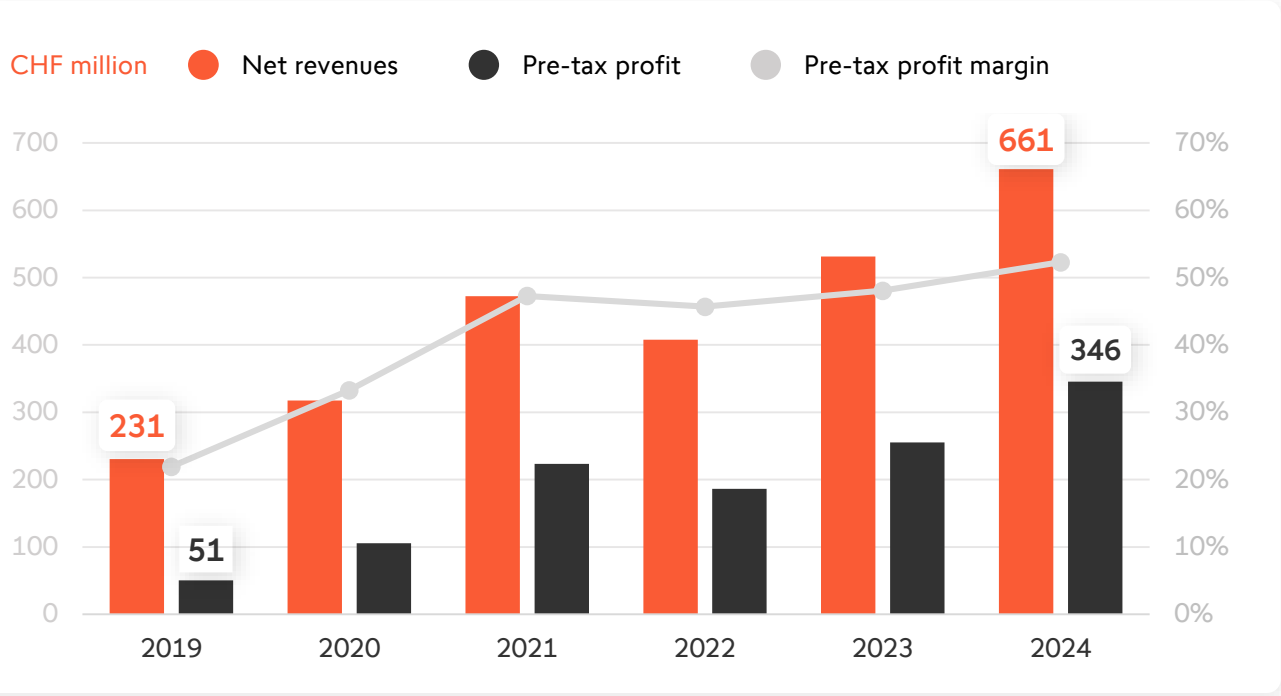
Our vision

We want to be the first bank for digital-first mass affluent traders and investors.
We challenge the code to deliver innovative services and products that make financial opportunities accessible to ambitious, self-directed people.

We have a strong track record of profitable growth







Over the last few years our platform has attracted large numbers of new clients and new assets.

In benign markets, economies of scale kicked in and margin increased.

In less benign markets, we managed to maintain a fair margin level.

DARE TO BE OPEN



02
TRUST & TRANSPARENCY

Clients trust us, helped by strong capital and solid regulatory ratios

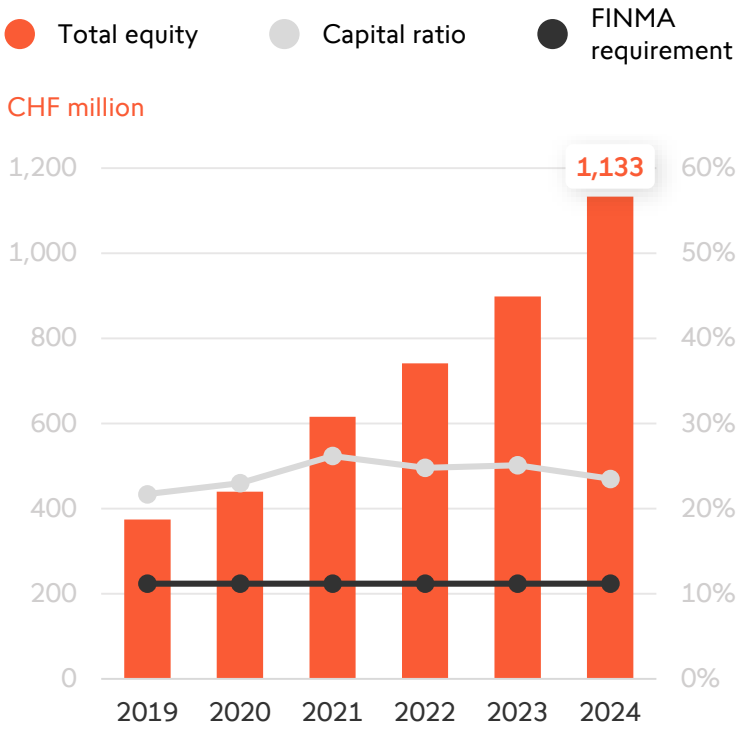
2nd
year in a row to be the only Swiss company recognised in the Financial Services & Investment category of "World's Most Trustworthy Companies" by Newsweek and Statista

Learn more:

8th
rank out of 164 listed Swiss companies in the zRating study (corporate governance rating)

5.9
customer satisfaction with regulated operator status (scale 0.0 to 7.0)





1. Leverage ratio
7.2% / min 3.0%
(2023 – 7.7%)

2. Liquidity ratio LCR
309% / min 100%
(2023 – 470%)

3. Funding ratio NSFR
263% / min 100%
(2023 – 277%)

4. Interest rate risk IRRBB
3.6% / max 15%
(2023 – 5.3%)

OUR USP
DIVERSIFIED NET REVENUES

DARE TO AIM FOR THE BEST



03
OUR
USP

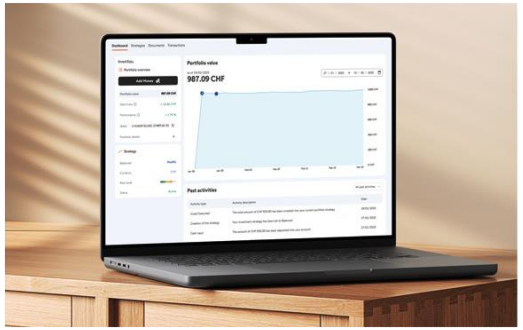
Our clients like our broad offering based on 3 pillars



TRADE

Become the most extensive and intuitive app for all trading needs.

SECURITIES TRADING, FOREX/CFD, CRYPTO, THEMES TRADING



INVEST

Become recognised for easy accessible investment and saving solutions.

PORTFOLIO MANAGEMENT, SUSTAINABLE INVESTING, SAVINGS



BANK

Become the top-of-wallet bank of our clients, with 360° services, 365 days a year.

DEBIT CARDS, ONLINE PAYMENTS, eMORTGAGES, LOANS

Joint venture expands Swissquote's reach and offering:

yuh can do it

Yuh, our joint venture with PostFinance, for instance, continues to provide very low cost banking, saving and investing options. Its main target audience is young, mobile-first users in Switzerland.

Our strong client service and savvy marketing translate into...

HAPPY CLIENTS



Positive Net Promoter Score (NPS®) of 39 in 2024 (+2 compared to last year)
(favorable on a scale from -100 to +100)



Client satisfaction score of 5.9 out of 7 (2023: 6.0) with regulated operator status

A STRONG BRAND



Top-of-mind online trading bank in Switzerland since 2021



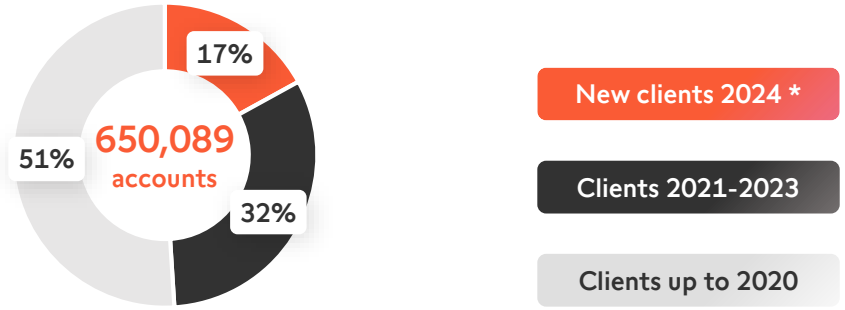
swissquote.ch as the leading online source of financial information in Switzerland since 2016



Top rating recognition as one of Switzerland's most innovative companies by Bilanz, PME and Statista

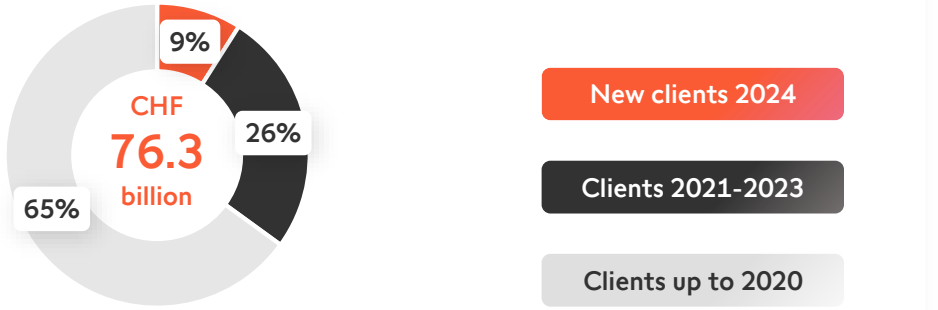
Key long-term driver: New clients in the right segments

Distribution of accounts



* 52% of new clients 2024 acquired in H2-2024

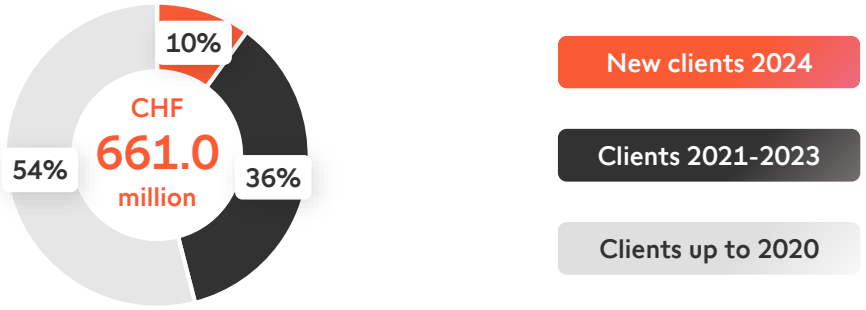
Distribution of client assets



OUR TARGET SEGMENT

- Affluent and mass affluent
- Generate higher revenues per client
- Trustworthiness, confidentiality, an innovative offering and convenience are important to them
- Willing to pay competitive and transparent fees for these services (clients buy satisfaction).

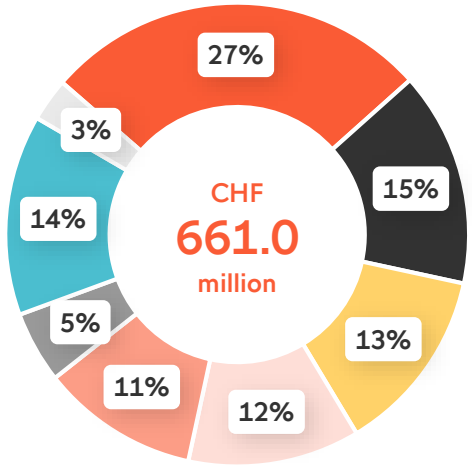
Distribution of net revenues



04
DIVERSIFIED
NET REVENUES

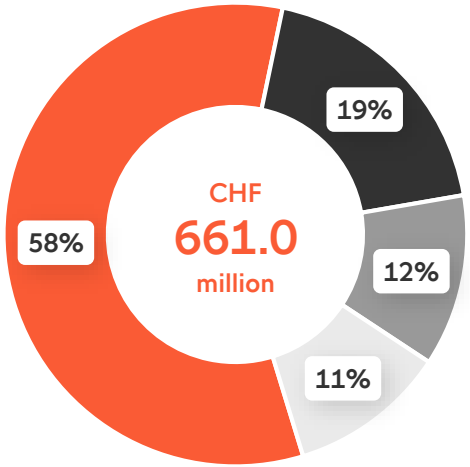
Our revenue streams are diverse

Net revenues by asset class



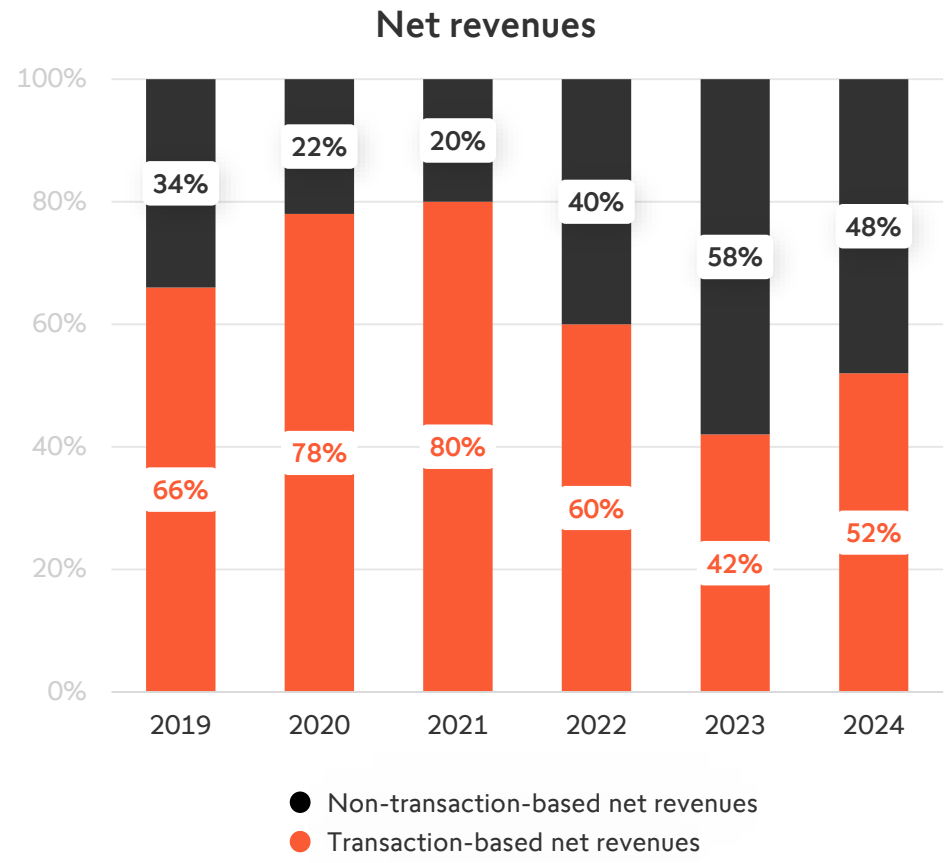
- Cash
- Fixed income, funds and similar vehicles
- Crypto assets
- Foreign exchange and precious metals
- Shares
- Structured products and derivatives
- eFX / CFDs
- Others

Net revenues by customer domicile



- Switzerland
  67% of client assets
- Europe
  16% of client assets
- MEA
  7% of client assets
- Rest of the world
  10% of client assets

Non-transaction-based income has increased in importance



Transaction-based income

- Sentiment-driven
- Stems from different sources
- Dependent on market volatility

FX transactions and eForex

Commissions on trades

Crypto-related revenues

Non-transaction-based income

- Stable in the short term
- Impacted by asset valuation
- Impacted by interest rates

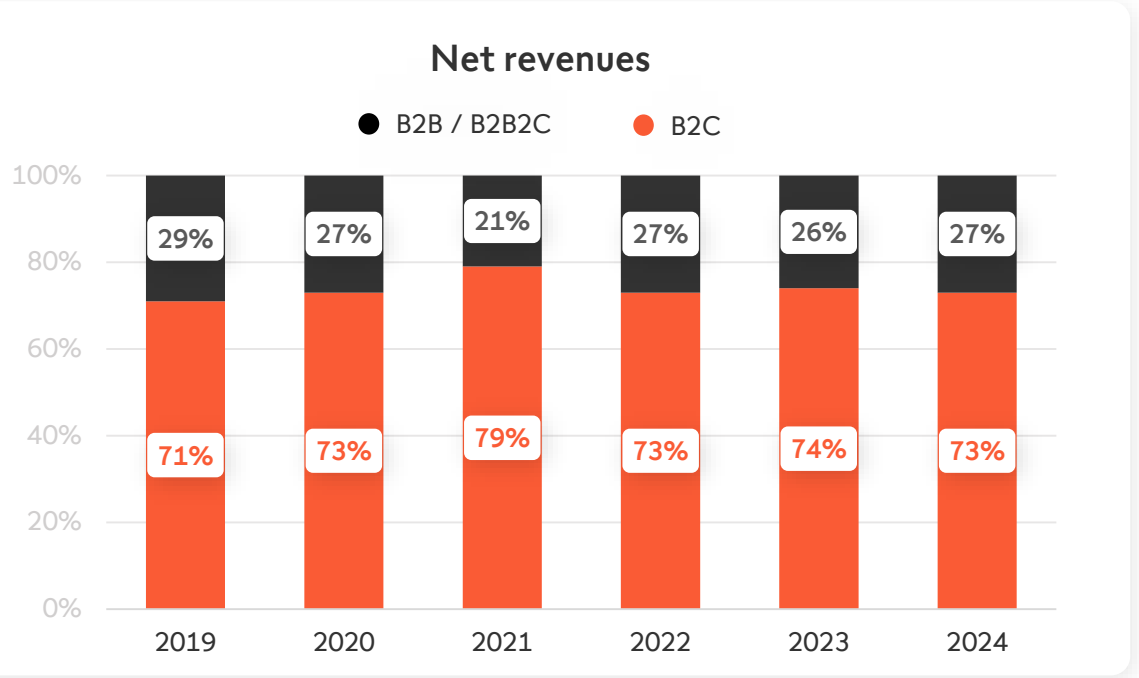
Custody and management fees

Interest income

Other non-transactional income

We have a strong platform, and third parties like it

CLIENT PROFILE	B2C	B2B/ B2B2C	FULL CAPTURE OF REVENUES	PROFIT SHARING
Retail, Affluent and HNWI	●		●	
Corporate/ Family offices	●	●	●	
Fund managers		●	●	
Asset managers		Predominantly ●		●
Brokers/Banks		●		●



- Our ultimate customer is always an individual investor, a family office or a corporate entity.
- However, our platform is attractive, and for a number of years we have had third parties using our platform, partially white labelled.
- Overall fees from B2B are slightly less transaction-dependent than the B2C business. We expect similar growth rates for B2B and B2C business.

INNOVATION IN OUR DNA
OUTLOOK & PAYOUT STRATEGY

DARE TO SEE BEYOND



05
INNOVATION
IN OUR DNA

Future growth is expected from our 'growth portfolio'

Multiple growth opportunities

Multi asset European strategy Roll-out

SQX Crypto Exchange

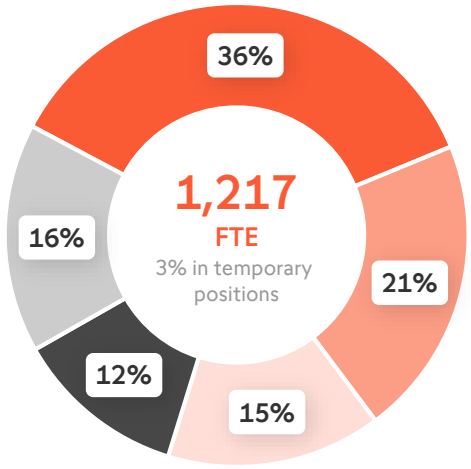
Universal bank with full daily banking package (e.g. Invest Easy)

Further expansion of B2B/B2B2C Business

Yuh mobile app with over 300,000 'yuhsers'

Our tech DNA is reflected in our employee mix

Distribution of headcount



- Technology
- Sales, Trading and Marketing
- Foreign offices
- Compliance & Risk
- Infrastructure, Back office and support

Distribution of headcount

- 69 Nationalities
- 32% Female
- 9% Part-time
- 35 Average age
- 11% Turnover percentage



And our employees like to work with us!



Certified Great Place to Work early 2024



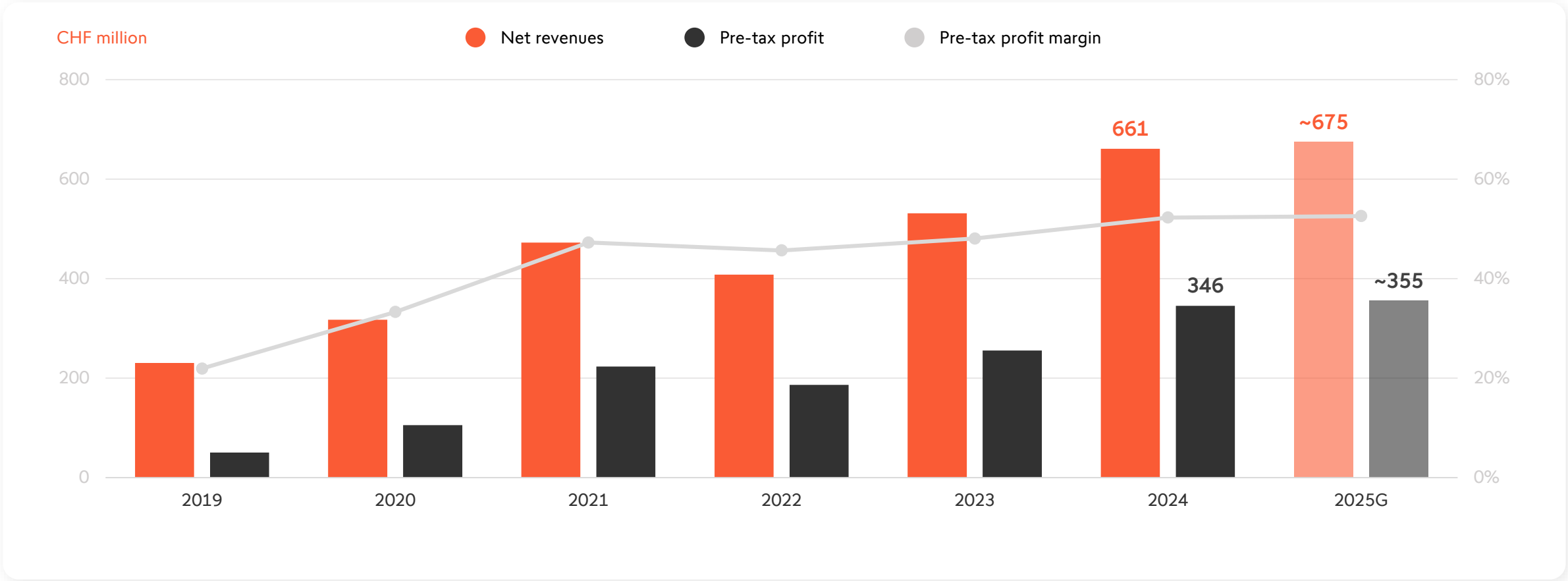
Employer Net Promoter Score

34

(favorable on a scale from -100 to +100)
(2023: 14)

06 OUTLOOK & PAYOUT STRATEGY

Guidance 2025: expected pre-tax profit of CHF 355m



Mid-term outlook 2028

1/2

1 Net new money

~CH 7 BLN / year

~50K
accounts opened on a yearly basis

2 Net revenues

~CHF 900M

Representing
~0.90%
of client assets



Transaction based revenues

Non-transaction based revenues

Stable non-transaction based revenues in a low-rate environment and a higher share of banking revenues in transaction based revenues.

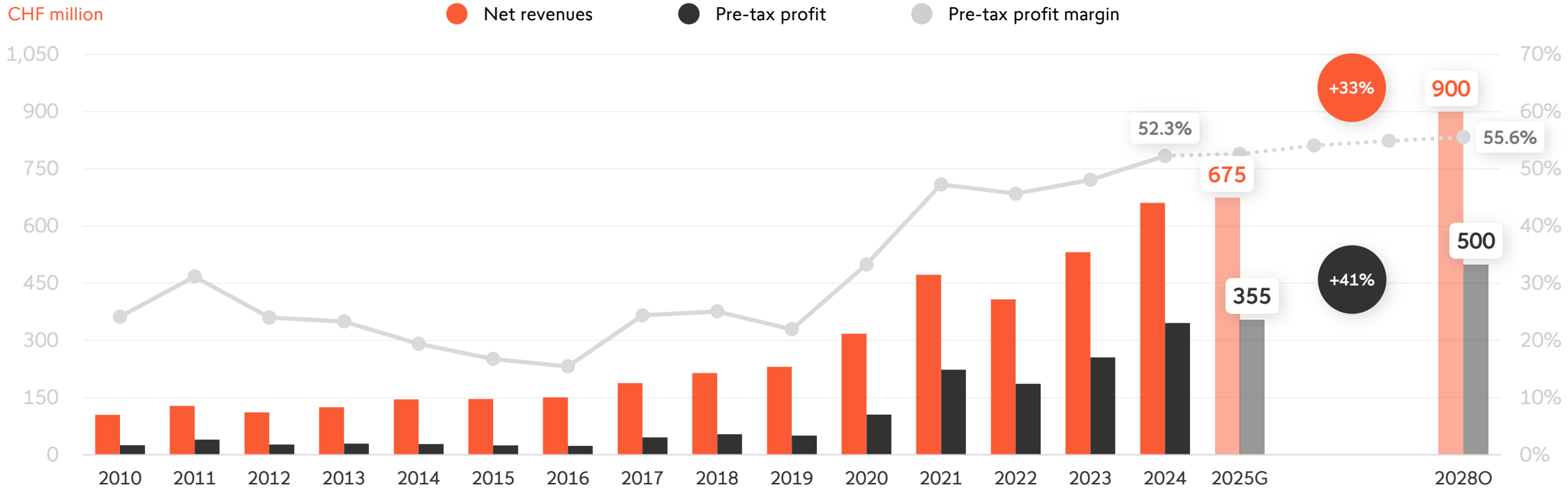
3 Pre-tax profit

~CHF 500M

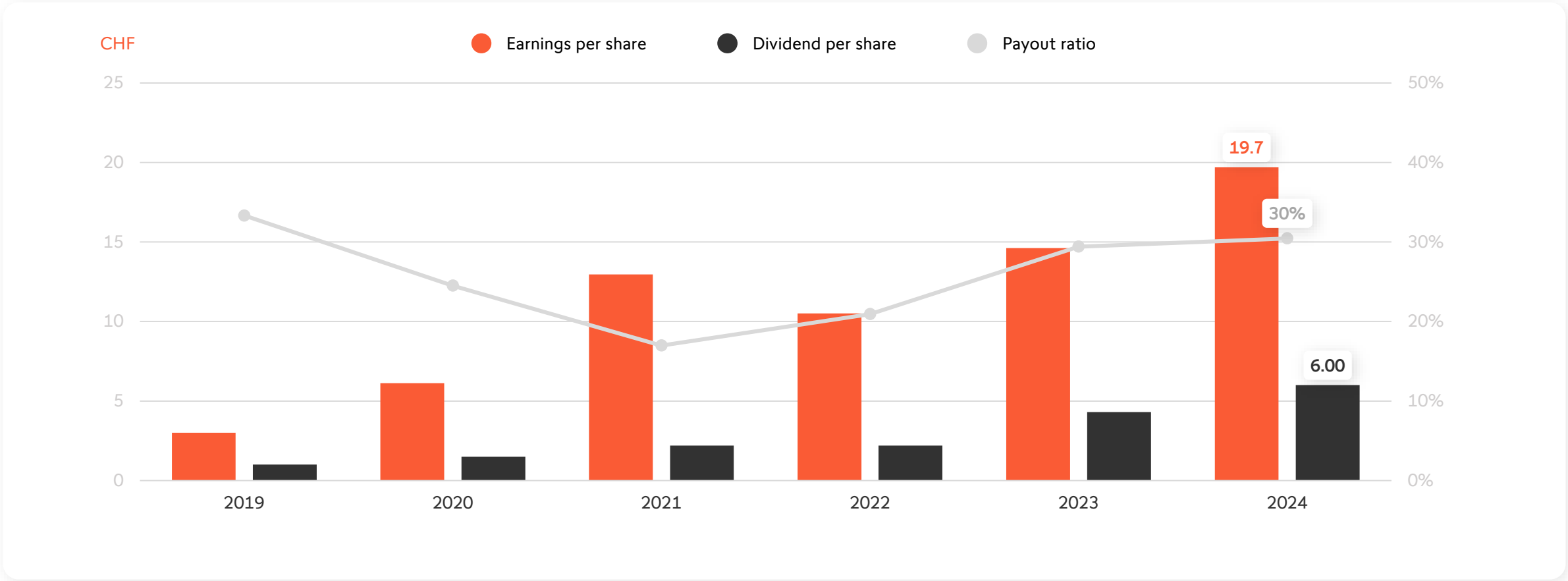
~55%
Pre-tax profit margin assumed

Mid-term outlook 2028

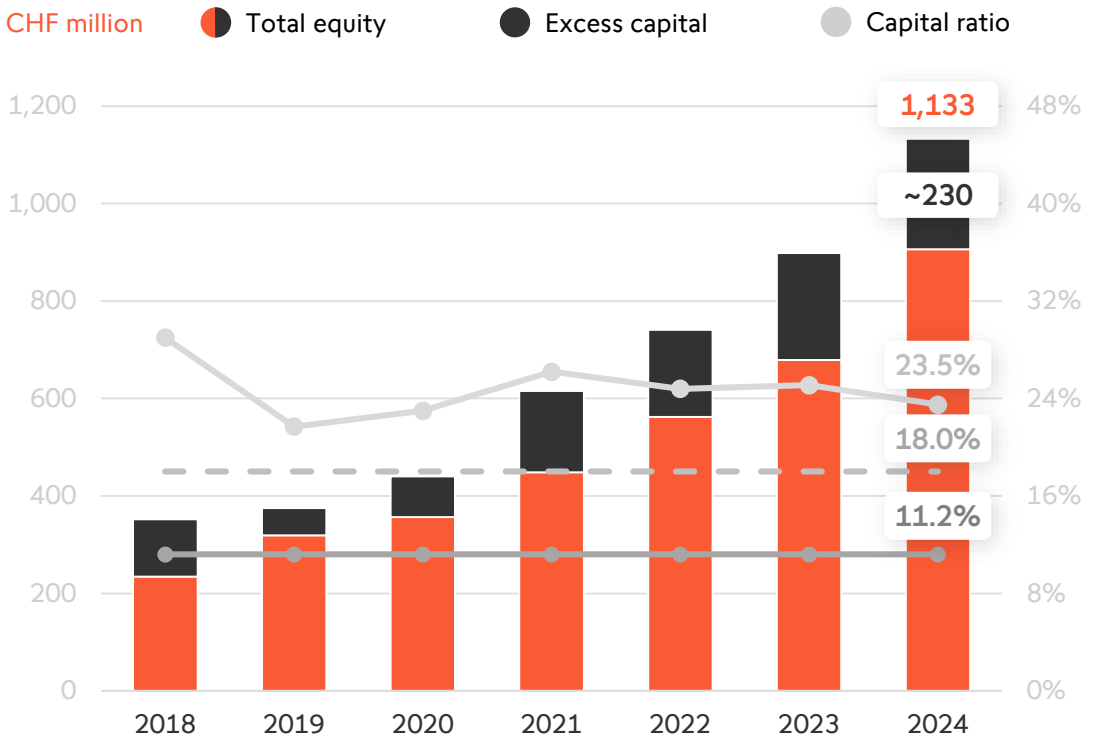
2/2



Thanks to solid equity position, payout ratio at 30%



Capital allocation strategy: growth buffer



1. The minimum set by FINMA is 11.2%. The 18% threshold is an internal limit set by the Board of Directors triggering immediate attention of the latter. As Swissquote maintains a solid capital position (23.5%), the capital exceeding this 18% internal limit is approximately CHF 230 million ("growth buffer").

2. Swissquote is committed to a dividend distribution representing 30% of the net profit.

3. Additional distributions (amount, form and timing to be determined at a later stage) may be contemplated when the "growth buffer" will have reached at least the double of the current size. The growth buffer could be used for selected inorganic opportunities in the coming years. The main objective would be to grow the existing business model.

DARE TO MAKE A DIFFE-RENCE



07
SUSTAINABILITY & SUMMARY

We are getting recognised for our efforts in Sustainability

KEY TOPICS

E

- Energy use and climate resilience

S

- Innovation and access to finance
- Business continuity and IT resilience
- Data privacy and security
- Product governance
- Customer experience
- Diversity, equity and inclusion
- Talent recruitment, development and retention
- Financial performance
- Prudent investment approach
- Compensation and benefits
- Social engagements
- Protection of human rights

G

- Compliance, governance and ethics
- Transparency and credibility in the market

QUANTITATIVE DATA

- Energy consumption ASSURED
- Greenhouse gas emissions (scope 1, 2, 3) ASSURED

- FTE dedicated to technology
- Average rating of the Trading App
- Customer satisfaction score
- Average percentage of total calls answered within the first 120 seconds
- Composition of the workforce ASSURED
- Diversity by gender ASSURED
- Diversity by age group ASSURED
- Turnover ASSURED
- Number of nationalities
- Fair on Pay maximum residual gap ASSURED

- MSCI ESG Rating and Inrate zRating® score
- Capital and liquidity ratios

EXTERNAL RATINGS

- MSCI stable at AA.

MSCI ESG RATINGS AA
CCC B BB BBB A AA AAA

- Sustainalytics improved Swissquote's ESG risk rating from "medium risk" to "low risk" in the first half of 2023.

SUSTAINALYTICS
a Morningstar company

- zRating® ranked Swissquote 8th out of 164 Swiss listed companies in 2024. Ranked first in the financial services industry in Switzerland.

inrate

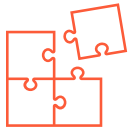
Summary: We will continue our story of profitable growth



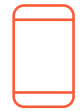
Trusted Swiss bank (capital and liquidity) with a **strong brand**



Tech DNA: Track record of innovative products that clients love, with more to come



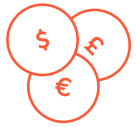
Leading multi-asset platform with **top-notch customer service**



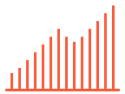
Convenient digital platform with **competitive and transparent pricing**



Strong growth in target segment: Affluent clients who value our offering



Diverse revenue streams with increasing importance of **non-transaction-based income**



Strong growth portfolio: focused portfolio of growth opportunities and projects

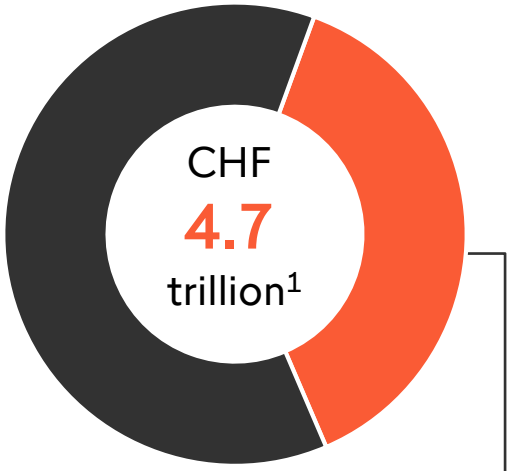


Considering **sustainability** as an **integral part of Swissquote's strategy**

08
APPENDIX

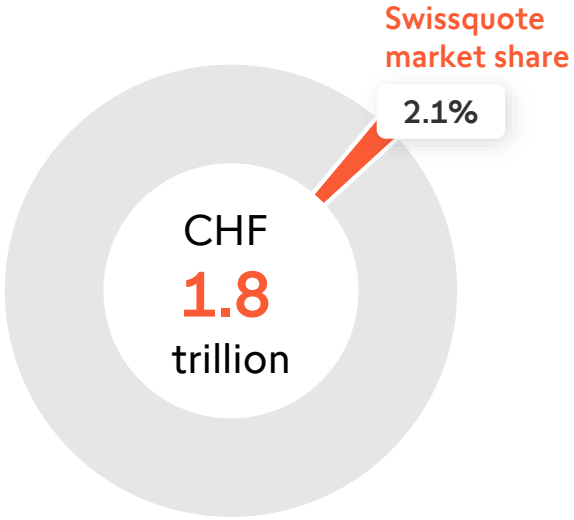
Swissquote is growing in its domestic market

Total net wealth of Swiss households at 31 December 2023



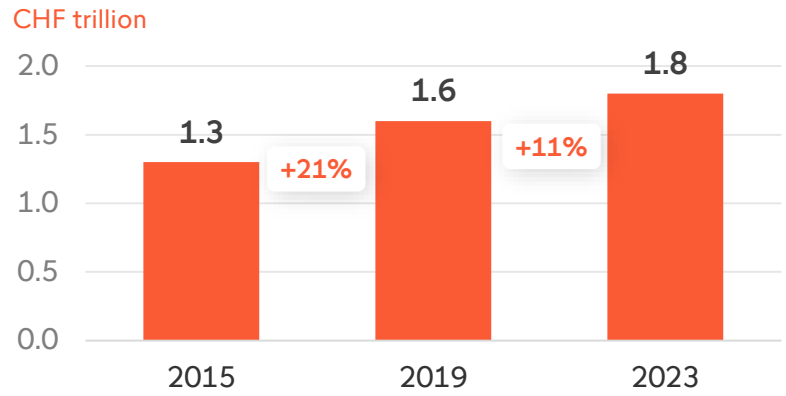
38% in financial assets (CHF 1.8 trillion)

Market share At 31 December 2023



- **Swissquote average market share is 2.1%**
- **Approximately 3% continued growth in wealth per year**
- **Wealth inequality is moderate. Over 70% of wealth distributed between 10K and 1M[2]**

Evolution of addressable market



[1] Source: Swiss National Bank, Swiss Financial Accounts, Household wealth in 2023, 30 April 2024

[2] Source: Global wealth Databook 2023, James Davies, Rodrigo Lluberas and Anthony Shorrocks

THANK YOU

Contact

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